

**JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
SOLICITATION SPE7MX24R0039**

[X] ORIGINAL

[] ADDENDUM (attach copy of original J&A for add-ons or revisions)

1. The Defense Logistics Agency, DLA Land and Maritime, is the contracting activity.
2. The action being approved is the acquisition of supplies/services on other than a full and open competition basis. This DLA Land and Maritime acquisition is for an Indefinite Quantity Contract (IQC) for fifteen DLA-managed NSNs. These items are manufactured by Sanitz Enterprises, Inc. (57AD8). This acquisition is being pursued to provide continued or improved supply availability to preclude backorders, reduce administrative and production lead-time (ALT and PLT), decrease potential contract administration actions, and obtain reduced and stable unit pricing.
3. The supplies required to meet the using activity's needs are described as follows:

CLIN	NSN	Item	EST. ANNUAL DEMAND QUANTITY (ADQ)	EST. ANNUAL DEMAND VALUE (ADV)	Contract Maximum	AMC/AMSC	PIC	QCC
0001	4910016184327	LOAD BANK,PORTABLE	7			3D	2	DAA
0002	4910016202476	SAFETY BOARD KIT	138			3D	2	DAA
0003	4910016202533	MOTORPOOL SETUP KIT	6			3D	2	DAA
0004	1005016282404	CLEANING KIT,GUN	38			3D	2	DAA
0005	4940016282510	SHOP EQUIPMENT,UTIL	11			3D	2	DAA
0006	6140016282613	BATTERY ASSEMBLY KI	25			3D	2	DAA
0007	4940016282928	SHOP EQUIPMENT,UTIL	34			3D	2	DAA
0008	4940016297875	SHOP EQUIPMENT,WELD	4			3D	2	DAA
0009	4940016298227	CLEANER,PRESSURE,SO	178			3D	2	DAA
0010	6130016298366	POWER SUPPLY ASSEMB	16			3D	2	DAA
0011	4940016298436	SHOP EQUIPMENT,UTIL	23			3D	2	DAA
0012	4940016298440	SHOP EQUIPMENT,UTIL	13			3D	2	DAA
0013	1005016299316	WASHSTATION,SPECIAL	30			3D	2	DAA
0014	4940016299495	SHOP EQUIPMENT,INST	212			3D	2	DAA
0015	4940016300734	SHOP EQUIPMENT,UTIL	18			3D	2	DAA
		TOTAL		\$	\$			

The proposed action is for the solicitation and award of a Firm-Fixed Price type contract of a maximum of five years. The five-year period is inclusive of a one-year base period and four one (1) year option periods. The one-year base period has an estimated value of \$ The contract maximum is \$

These NSNs have no specific weapon system listed. The items are for general maintenance of military vehicles.

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ESTIMATED ANNUAL DEMAND VALUE: \$ [REDACTED]
ESTIMATED 1 YEAR BASE VALUE: \$ [REDACTED]
ESTIMATED TOTAL 5 YEAR VALUE (1 YEAR BASE + 4 OPTIONS): \$ [REDACTED]
MAXIMUM CONTRACT VALUE: \$ [REDACTED]

4. The statutory authority permitting other than full and open competition is:
[X] 10 U.S.C. 3204(a)(1) - Available from only one or a limited number of sources.

These items are procured by an approved CAGE and part numbers. Sanitz Enterprises, Inc. (57AD8) is the only source that has been identified as having the proper complete technical data and manufacturing expertise to supply these items to DLA and the using military services. These items are used in maintenance facilities for military and commercial transport vehicles. The items consist of maintenance/repair equipment, safety equipment, and storage units. The versatility and space-saving features of the storage units allow them to be configured to fit well in leased buildings and temporary maintenance facilities. The majority of the equipment is portable allowing it to be used in the field. Any alternate or after-market parts need to be reviewed and evaluated by the Engineering Support Activities as unapproved parts could compromise the normal operation, function, and/or safety of the vehicles and troops.

These items contain unique qualifications (See Attachment 1 – Unique Qualifications). Below is a summary of the information:

The equipment must be able to perform under adverse conditions in the field, such as salt spray and the ability to withstand crushing by heavy military vehicles and tanks. Many of the items are kits that contain numerous components necessary for certain types of maintenance function. For example, NSN 4910016202533 is a complete maintenance shop kit used to repair commercial and military transport vehicles.

Several of the items outperform their commercial counterparts. For example, the battery chargers for NSNs 6130016298366 and 6140016282613 can recharge batteries that are down to 2 volts; whereas, similar commercial chargers cannot charge under 4 volts. NSN 49100116184327 (Load Bank) prevents the malfunctioning of generators in the field if equipment (other than that which the generator is intended to power) is connected to it. This Load Bank can handle generators up to 110kw and is portable.

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5. If restricted to the only source(s) of supply, include source(s) and CAGE code:

CLIN	Contractor	CAGE	Part Number
0001	Sanitz Enterprises, Inc.	57AD8	AP101049
0002	Sanitz Enterprises, Inc.	57AD8	AP100206
0003	Sanitz Enterprises, Inc.	57AD8	A102646
0004	Sanitz Enterprises, Inc.	57AD8	AP102004
0005	Sanitz Enterprises, Inc.	57AD8	AP102363
0006	Sanitz Enterprises, Inc.	57AD8	AP101243
0007	Sanitz Enterprises, Inc.	57AD8	AP102063
0008	Sanitz Enterprises, Inc.	57AD8	AP102276
0009	Sanitz Enterprises, Inc.	57AD8	AP102016
0010	Sanitz Enterprises, Inc.	57AD8	AP111910
0011	Sanitz Enterprises, Inc.	57AD8	AP92018
0012	Sanitz Enterprises, Inc.	57AD8	AP92016
0013	Sanitz Enterprises, Inc.	57AD8	AP102123
0014	Sanitz Enterprises, Inc.	57AD8	AP102152
0015	Sanitz Enterprises, Inc.	57AD8	AP100055

Sanitz Enterprises, Inc. (57AD8) is the only source that has been identified as having the proper complete technical data and manufacturing expertise to supply these items to DLA and the using military services. The Government physically does not have in its possession sufficient, accurate or legible data to purchase these parts from other than current source(s). DLA does not possess adequate data, lacks rights to data, and/or has no record of an alternate Design Control Activity approved source. The data presently available reflects the minimum needs of the Government.

The approved CAGE and part number was confirmed by checking the Procurement Item Description (PID) and the Product Master. The Product Specialist reviewed the technical information and recommended for LTC on August 26, 2024. The technical data has indicated that this item is limited to Sanitz Enterprises, Inc., as the source.

The use of the authority cited below:

[X] AMC 3. Acquire, for the second or subsequent time, directly from the manufacturer.

The use of the authority cited is based on:

[X] *AMSC D*. The data needed to acquire this part competitively is not physically available, it cannot be obtained economically, nor is it possible to draft adequate specifications or any other adequate, economical description of the material for a competitive solicitation. AMCS 3, 4, or 5 are valid.

Per the approved manufacturer parts list for these NSNs in SAP (as received from the Defense Logistics Information Service), only CAGE 57AD8 has been identified as having the proper complete technical data and manufacturing expertise to supply these items to DLA and the using military services. These items have been determined to be commercial. A technical review in support of a potential LTC was performed and the NSNs were determined to be suitable for a long-term contract. The Product Specialists reviewed the technical information,

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including the AMC/AMSC codes, and certified it as complete and accurate on August 26, 2024 (See Attachment 2 – Technical Certification).

6. Efforts to ensure that offers are solicited from as many sources as practicable are:

[X] The acquisition will be synopsized on or about August 20, 2024 for 3 days prior to the solicitation opening. At the completion of the synopsis period, this PR will be solicited on the internet for 30 days via the DLA Internet Bid Board System (DIBBS)..

[X] Approved manufacturer will be solicited.

[X] Dealers of the manufacturers will be solicited.

[] A synopsis exception cited in FAR 5.202 applies. (explain)

[X] Other. (Explain) In an effort to encourage participation by manufacturers in the acquisition process and to help decrease barriers for companies looking to become sources of supply, DLA Land and Maritime hosts Captains of Industries bringing in industry leaders for particular commodities or weapon systems. DLA, depending on budget allowance, also holds supplier conferences.

7. I hereby determine that the anticipated cost to the Government will be fair and reasonable.

a. Certified Cost or Pricing data is not required, as the acquisition is being solicited as commercial under FAR Part 12. These items will be solicited as other than full and open competition. The buyer only intends to award the NSNs if a fair and reasonable price determination can be made.

b. I hereby determine that the anticipated cost to the Government will be fair and reasonable based on commercial price comparison, price analysis, Producer Price Index (PPI), learning curve analysis, and/or informal cost breakdown.

8. Market Research/Efforts to Obtain Competition:

DLA Land and Maritime conducted various forms of market research including the publishing of a formal Sources Sought notice and market survey to www.SAM.gov. In addition to the publishing of a Sources Sought notice, the Market Survey team contacted the approved source and past provider from the procurement history.

Sources Sought Notice:

The Sources Sought Notice was posted to www.SAM.gov on May 1, 2024 and closed on May 10, 2024. Responses were received from R&M Government Services (6FN58) and Son Coast Procurement LLC (71X80). R&M Government Services is interested in all CLINs as a dealer for Sanitz Enterprises. SonCoast Procurement LLC is interested in becoming an approved source for CLINs 0002, 0004, 0006, 0007, 0009, 0010, 0011, 0013, and 0014. For CLINs 0002 and 0013, they have already submitted a Source Approval Request (SAR) Package for review and are currently waiting for review/approval. The buyer will move forward with the solicitation as is. If the SAR package is approved for any of the items prior to award, the solicitation will be amended to include the new source for those items. If the SAR package is approved for any items after an award is made, the option years will not be exercised for those items and a new solicitation will be issued.

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Market Survey [10 U.S.C. 3204(e)(2)(D)]:

[X] A market survey was conducted on/during May 1, 2024.

Total number of vendors contacted: 6

Names of vendors contacted and responding: REV-CAP Company, Inc. (0HS46), JGILS, LLC (1N8T8), Delta Technology (2U435), Hooks Industrial (4Z6H7), Kampi Components Co., Inc. (7Z016), and Sanitz Enterprises, Inc. (57AD8). Positive responses were received from Kampi Components Co., Inc. (7Z016), and Sanitz Enterprises, Inc. (57AD8). Negative responses were received from Rev-Cap Company, Inc. (0HS46) and JGILS, LLC (1N8T8).

Techniques used to conduct survey: Email.

Types of information requested: Commerciality, Length of Contract, FOB, Delivery & General information questions.

Summary of information received:

Kampi Components Co., Inc. (7Z016) – Small Business

- Small Business dealer/distributor for CAGE 57AD8

- [REDACTED]
- [REDACTED]
- [REDACTED]

- Indicated that these items are not commercial

- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

Sanitz Enterprises, Inc. (57AD8) – Small Business

- Small Business manufacturer
- Indicated that that “will be quoting this to our authorized dealer, Kampi Components CAGE 7Z016

- [REDACTED]
- [REDACTED]

- Indicated that these items are commercial and provided supporting commercial documentation

- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

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Information received regarding the commerciality of the item(s):

Previous LTC was determined commercial and the approved source, Sanitz Enterprises, Inc., stated that these items are commercial. In addition, the buyer contacted the sole source for additional supporting commercial documentation. Sanitz Enterprises, Inc. provided a supporting commercial documentation (See Attachment 3 – Commercial Documentation).

The Government will continue to conduct market research to ascertain if changes occur in the marketplace that would enable future actions for these items to be competitive. Per PGI 206.304, the requirement states, “the justification shall include a copy of the previous justification to assist the approval authority in determining whether the planned actions to remove any barriers to competition cited on the previous justification were completed”. Based on a review of the contract history, these items are currently on LTC contract SPE7MX21D0084. The Justification and (J&A) for Other Than Full and Open Competition for SPE7MX21D0084 is included (See Attachment 4 – SPE7MX21D0084 J&A).

Based on previous acquisitions in accordance with DFARS 212.102(a)(ii) and the buyer’s additional Internet research, the Contracting Officer has determined that all items are commercial.

9. Additional facts supporting other than full and open competition are:

[X] Based upon the attached technical certification, technical data is not available and cannot be developed to permit full and open competition. The data presently available reflects the minimum needs of the Government.

10. A listing of sources, if any, indicating an interest in the acquisition is: (If none, so state)

Kampi Components Co., Inc. (7Z016)
Sanitz Enterprises, Inc. (57AD8)
R&M Government Services (6FN58)
Son Coast Procurement LLC (71X80).

11. The following actions are being taken to identify additional sources:

[X] Solicitation contains DLA Procurement Note, L04 Offers for Part Numbered Items

[X] Solicitation contains DLA Procurement Note, M06 Evaluation of Offers for Part Numbered Items

[] VE Bailment Program

[] Source Development Review

[] Reverse Engineering

[] Other

(Explain) _____

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I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief. If not exceeding \$750,000, this signature serves as the approval.

MIELKE.MEGAN
.M.1364088848

Digitally signed by
MIELKE.MEGAN.M.1364088848
Date: 2024.09.06 10:40:35 -04'00'

MEGAN M. MIELKE, Contracting Officer

Date

APPROVAL/CERTIFICATION

I have reviewed and approve this justification:

WIEBUSCH.JAM
IE.1251897324

Digitally signed by
WIEBUSCH.JAMIE.1251897324
Date: 2024.09.09 13:01:20 -04'00'

Competition Advocate Signature

Date

JOHNSON.ROBE
RT.D.1230338090

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JOHNSON.ROBERT.D.12303380
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Date: 2024.09.12 09:17:06 -04'00'

ROBERT D. JOHNSON, SES
Head of the Contracting Activity (HCA)
DLA Land and Maritime

Date

APPROVAL REQUIREMENTS

- | | |
|--|------------------------------------|
| ☐ Up to \$750,000 | Contracting Officer |
| ☐ Over \$750,000 to \$15,000,000 | Competition Advocate |
| ☒ Over \$15,000,000 to \$100,000,000 | Head of Contracting Activity (HCA) |
| ☐ Over \$100,000,000 | Senior Procurement Executive (SPE) |

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Attachment(s):

- 1 – Unique Qualifications
- 2 – Technical Certification
- 3 – Commercial Documentation
- 4 – SPE7MX21D0084 J&A